Learning Activity Week 7 Report

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UMGC: University of Maryland Global Campus

BMGT 381: Business Law II

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11/30/2024

DATE: 11/30/2024

TO: Gale Roth, Pat Branden

FROM: Victoria Lee

RE: Painted Images' (PI) Bankruptcy Regulations

Report

Introduction:

As Painted Images' (PI) business becomes profitable, there are some concerns that PI would like to know about debt management and the potential for future financial problems leading to bankruptcy. PI is curious to know more about bankruptcy regulations and has asked BCA for information. This summary memorandum report will analyze bankruptcy regulations and types of bankruptcy that could be available to PI if it accrues serious debt.

A. Chapter 7 bankruptcy:

1. describe the purpose and scope of Chapter 7 bankruptcy regulations

Chapter 7 bankruptcy is about liquidation bankruptcy. According to *Advanced Business Law and the Legal Environment* (2014) and UMGC (n.d.), this type involves liquidating the debtor's nonexempt assets to pay off creditors. In other words, it involves selling the debtor's nonexempt assets for cash and distributing the money to the creditors, discharging the person or business from any further liability for the debt. Based on PI's situation, this is suitable for situations where the debtor has little to no disposable income to repay and is

looking for a new start by discharging most unsecured debts. Moreover, this type of bankruptcy applies to all debtors except railroads, insurance companies, most banks, credit unions, and homestead associations. The main goal is to provide the debtor with a "fresh start" by wiping out most debts. The overall purpose is to provide relief for individuals facing overwhelming debt by allowing them to discharge most unsecured debts. As mentioned previously, the scope also applies to individuals who meet the income eligibility test requirements, non-exempt assets are sold by a trustee to pay creditors according to a set order, and debtors receive a discharge of most debts, with some exceptions like student loans, taxes, etc. However, in some circumstances, debtors can convert Chapter 7 to Chapter 11, 12, or 13 with permission and dismissal can occur for cause delaying proceedings or abuse. PI should consider that most of Chapter 7 cases involve no asset liquidation where creditors receive nothing and sometimes a discharge denial can happen for dishonest behavior or abuse. In other words, chapter 7 also mentions that a discharge can be revoked for fraud during bankruptcy proceedings. Then, this bankruptcy protects debtors from discrimination by the government and most private employers and credit ratings will be impacted by bankruptcy (*Advanced Business Law and the Legal Environment,* 2014; UMGC, n.d.). Therefore, the purpose and scope of Chapter 7 is liquidation bankruptcy which applies to most debtors except banks and railroads, allowing individuals or businesses to have their debts discharged, providing a fresh start.

2. analyze and describe when a Chapter 7 bankruptcy is appropriate

Based on PI's scenario, according to *Advanced Business Law and the Legal Environment* (2014) and UMGC (n.d.), Chapter 7 bankruptcy is appropriate when the debtor has little to no disposable income to repay debts or the debtor's debts are primarily consumer debts, such as credit card bills and medical bills. For instance, PI's debts become overwhelming with no feasible way to generate enough income to cover them. Another reason this would be appropriate is that the debtor does not have significant assets lost in the liquidation process, such as PI having limited assets that would be subject to liquidation such as a home or vehicle, then this would be a plausible option. The next option would be if the debtor's median income is below the state median or passes the means test. Other methods would be if the debtor is willing to pay the costs, including approximately $1,100 in attorney fees, and understands the case duration and high success rate of 97%. In some cases, if PI has experienced a job loss or significant pay cut, that has made it hard to meet the requirements of the debt obligations, Chapter 7 can offer a solution. Another circumstance is when PI is facing a wage garnishment, where the bank account levies, or property repossession, Chapter 7 can halt these actions and provide temporary protection. Lastly, it would also be appropriate for PI if the goal is to wipe out the debts and start anew, albeit with the potential loss of some assets (*Advanced Business Law and the Legal Environment,* 2014; UMGC, n.d.). Therefore, these would be the different types of scenarios when bankruptcy is appropriate for PI's scenario.

B. Chapter 11 bankruptcy:

1. describe the purpose and scope of Chapter 11 bankruptcy regulations

Chapter 11 is about the reorganization of debts. According to *Advanced Business Law and the Legal Environment* (2014) and UMGC (n.d.), this type of bankruptcy allows for the reorganization of debts, enabling the business to continue operating while restructuring its financial obligations. This process is more complex and can involve negotiations with creditors to modify the terms of debt repayment. It allows businesses to continue operating while they restructure their debts. The debtor proposes a plan of reorganization to keep the business alive and pay creditors over time. This type of bankruptcy applies to anyone who could file Chapter 7, plus railroads, and can reduce mortgages, liens on real estate, and unsecured debts such as credit cards. In other words, Chapter 11 allows businesses (corporations, partnerships, and sole proprietorships) and, in some rare cases, individuals to reorganize their finances and continue operating. This would be best for PI if PI needs a legal framework for negotiating debt reduction with creditors to rehabilitate the debtor and prevent liquidation. However, PI must be mindful that this method has criticism such as allowing potentially incompetent management to stay in charge which could change the outcome of this bankruptcy process. If PI plans to go to this route, most individuals eligible for Chapter 7 can also file Chapter 11 but must undergo credit counseling. The process is simply that the debtor files a petition with the bankruptcy court. Then the debtor usually retains control of the business unless a trustee is dishonest or inaccurate. Then the court appoints a committee to represent unsecured creditors' interests. Next, is

that the debtor or other parties propose a plan for debt repayment and business restructuring. Then, the plan needs approval from a specific percentage of creditors based on the claim amount and number. Once the application plan is received, the court reviews the plan and confirms if it meets legal requirements and is deemed fair and the debtor is discharged from the remaining debt. However, this is a complex and costly process compared to Chapter 7 or other bankruptcy options, where not all businesses will successfully reorganize under Chapter 11. Therefore, the purpose of Chapter 11 bankruptcy is to reorganize finances to continue business operations through planning and approval from the court to dismiss the debts (*Advanced Business Law and the Legal Environment,* 2014; UMGC, n.d.).

2. analyze and describe when a Chapter 11 bankruptcy is appropriate

Based on PI's scenario, according to *Advanced Business Law and the Legal Environment* (2014) and UMGC (n.d.), Chapter 11 bankruptcy is appropriate when the debtor is a corporation or partnership. For instance, any business entities that would be included. Another way is that the debtor has substantial assets and income that can be restructured to repay creditors. For instance, PI accrues significant debt but has some assets and income that could be restructured. Another way would be if the debtor wishes to avoid liquidation or if the business has a secure accounting record. This would be the case if PI wants to avoid liquidation, and as well have secure accounting records. It would allow PI to have flexibility and other considerations of the pros and cons. Another way is that the debtor can handle the complex and lengthy process of

reorganization, including submitting detailed financial records and monthly operating reports to the bankruptcy court and trustees. For instance, PI wants to continue operating and believes the business can return to profitability with time and reorganization. Other scenarios are when PI is willing to undergo the rigorous process of developing a reorganization plan, maintaining detailed financial records, and seeking approval from creditors and the court. Then, these options would be appropriate for PI's case when PI has assets but struggles with debt. This debt reduction method through negotiation allows the business to operate and contribute to the economy. In some rare occurrences, this option is favorable for individuals with too much debt for Chapter 13 and too much income for Chapter 7 requirements. (*Advanced Business Law and the Legal Environment,* 2014; UMGC, n.d.). Therefore, these are all cases where Chapter 11 bankruptcy is appropriate for PI.

C. Chapter 11 Hypothetical Scenario:

1. create a hypothetical scenario in which PI is facing enormous debt and considering filing for bankruptcy

Based on the scenario, according to *Advanced Business Law and the Legal Environment* (2014) and UMGC (n.d.), one hypothetical scenario is that PI is facing enormous debt due to a significant downturn in the market and poor investment decisions which would make PI's liabilities exceed its assets and struggles to meet its debt obligations. In this case, PI's management is considering filing for bankruptcy to address its financial issues and avoid

potential liquidation or other bankruptcy (*Advanced Business Law and the Legal Environment,* 2014; UMGC, n.d.).

2. recommend Chapter 7 or Chapter 11 filing for PI in the hypothetical scenario and explain why.

In this hypothetical scenario, according to *Advanced Business Law and the Legal Environment* (2014) and UMGC (n.d.), Chapter 7 and Chapter 11 bankruptcy are two distinct legal processes designed to provide relief for individuals and businesses overwhelmed by debt. Chapter 7 of liquidation bankruptcy involves selling the debtor's non-exempt assets to pay off creditors. Chapter 7's process can be suitable for individuals with limited assets and income who need a new start. Meanwhile, Chapter 11 is a reorganization bankruptcy that allows businesses and individuals to restructure their debts and continue operating. Chapter 11's process involves developing a plan to repay creditors over time, often through a combination of debt reduction, asset restructuring, and operational changes. While Chapter 11 can be a more complex and costly process than Chapter 7, Chapter 11 bankruptcy would be the most appropriate filing for PI as it allows PI to reorganize its debts while continuing to operate its business. The steps that PI may have to consider is that bankruptcy commences with the filing of a petition of bankruptcy. Then creditors file proofs of claim and are entitled to certain priorities: domestic support obligations and the costs of administration are first. The debtor must file full and truthful schedules and attend a credit counseling session, if applicable, and the debtor has a right to claim exemptions. In this case, this

means that PI can propose a plan to pay creditors over time, potentially reducing its debt burden and allowing it to emerge from bankruptcy as a viable entity. In other words, negotiate with creditors to restructure debt payments, to help reduce the debt burden. The process involves negotiating with impaired creditors, demonstrating that they will receive more through the reorganization plan than through a Chapter 7 liquidation. Utilizing the reorganization plan to emerge from bankruptcy as a viable business entity, would allow PI to avoid the liquidation of assets which would occur under Chapter 7 (*Advanced Business Law and the Legal Environment,* 2014; UMGC, n.d.). Therefore, Chapter 11 would be the most appropriate choice for PI based on the previous scenario.

Conclusion

In conclusion, based on the analysis of bankruptcy regulations and types of bankruptcy, it is recommended that PI consider Chapter 11 bankruptcy if PI accrues serious debt, as it will allow PI to restructure its debts and continue business operations while addressing its financial challenges. Chapter 11's method offers debt reorganization and allows PI to maintain its operational status while negotiating better terms with creditors. By aligning the Chapter 11 bankruptcy option with PI's specific concerns and business dynamics, PI can make informed decisions on managing potential financial problems while keeping business operations flowing.

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